

the one on the left. A handle 18 days long followed, and I bought about midway in that handle.

From my notebook: “9 April 2009. Buy reason: S&P rates stock a hold. Has nearly 0 [long-term] debt. Has TONS of insider buying since September but share sizes are unimpressive (20k largest, 936 shares, smallest). Ford has strong sell. 3 of 5 ratios are at bottom. P/E [price to earnings] is [not applicable because they didn't make a profit] and [price to cash flow] is midrange since cash flow has dried up. Earnings are negative. Late to a confirmed Eve & Adam double bottom.”

Upside target was 8, 13, and 16 with a potential stop of 2.63 or 19.7% below the current price. With a stop so far away, I didn't place it. I think this was a buy-and-hold-type trade, one where I often don't use a stop.

Confirmation of the double bottom was at 2.29, and I bought at 3.10, or 35% above the optimum entry. So that was really awful.

- Lesson: Bottoms are often V-shaped. Tops are more rounded appearing. You have to be quicker to buy at a bottom than to exit at a top.
- Lesson: Buy as close to confirmation as you can. It helps limit risk and increase profit.

I'm not sure why I didn't buy earlier, but I knew by the entry I was late, as my notebook entry acknowledges.

The closest target was 8, far above the 3.10 buy price. Why so far away? The bear market sucked the stock down quickly from a peak at 13.90 to a low of 1.41, or a 90% drop in 3 months. On the weekly scale, it looked as if the stock stepped off a cliff. So there weren't many pauses along the way that would make for good resistance targets on the way back up.

Having resistance far above the current price isn't a bad thing, really. You can hope that price doesn't pause along the way to the target, but that's often wishful thinking.

In 2008, the stock made a slowly rising channel from 8 to 15, so that's where it called home. I was hoping it would return home, but it only got halfway there.